NOTES

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UNIT- 1
INTRODUCTION TO MANAGERS AND MANAGEMENT

Management

A universal concept that is needed in every organisation whether it is a business organisation or a non-business organisation such as hospital school, etc., is known as **Management.** An organisation's success depends on the successful functioning of its management and is always required whenever human and non-human resources of an organisation work together for the accomplishment of any objective. In present times, with an increase in the size and complexities of modern organisations. the concept of management has gained immense importance.
The definition of Management varies with the context in which it is used. In a broader sense, Management can be defined as per **Traditional Approach** and **Modern Approach.**

Traditional Definitions of Management

"Management consists of getting things done through others. A manager is one who accomplishes objectives by directing efforts of others." ***– C.S. George***

"Management is the art of getting things done through others." ***– Follett***

Modern Definitions of Management

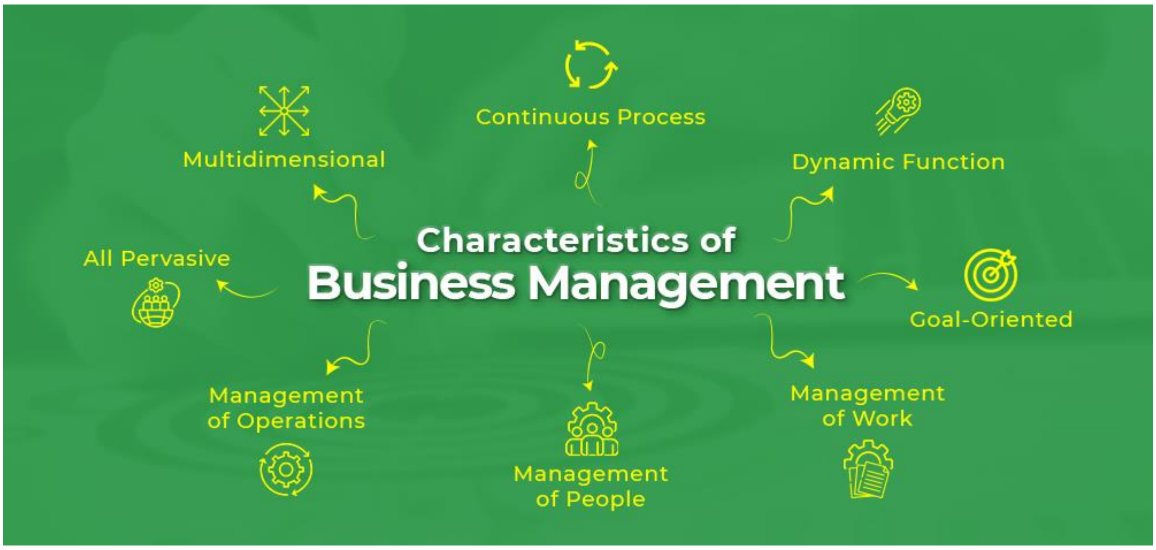
"Management is the creation of an internal environment where individuals working in a group can perform effectively and efficiently for the achievement of organisational goals." ***– Koontz and Donnell***

"Management is defined as the process of planning, organising, actuating, and controlling of an organisation's operations in order to achieve coordination of the human and material resources essential in the effective and efficient attainment of objectives." ***– Trewelly and Newport***

The three essential elements that come under the modern concept of Management are as follows:

1. Management is a 'Process': Management involves a series of int-related functions like planning, organising, staffing, directing, and controlling, which makes it a process. Every manager performs these functions to achieve goals.
2. Management requires Effective Performance: Effectiveness in Management means achieving goals **on time.** In simple terms, it aims at end result. **For example,** if an organisation achieves its sales target within time, it is said to be effective.
3. Management needs Efficiency: Efficiency in Management means doing tasks correctly and with minimum cost. It is not enough to just complete the task on time, it should be accurate also. Besides, management also aims at using its resources efficiently as it reduces the cost of the firm ultimately resulting in higher profits.

Characteristics of Management



1. Continuous Process: Management is a continuous process. It means that the process of business management goes on until the company exists, as it helps in achieving the organisational goals. Every manager of an organisation has to perform the different functions of management in a series (planning, organising, staffing, directing, and controlling).

2. Goal-oriented: Every organisation has a set of predetermined goals or objectives that it aims to accomplish during its existence. Every organisation has different goals. Hence, management helps these organisations in fulfilling their goals by utilising the given limited resources in the best optimum manner. **For example,** If the objective of Airtel is to add a billion Airtel Xtreme customers in a year, then all of its managerial activities will be directed toward the achievement of this objective.

3. All Pervasive: The process of business management is universal in nature. Every organisation, whether small scale, large scale, economic, social, etc., uses the process of management at every level or stage. Besides, the activities involved in the management of an organisation are common for all whether it is a social, political, or economic enterprise.

4. Multidimensional: Management is a multidimensional process as it does not involve only one activity. The three main activities involved in management are Management of Work, Management of People, and Management of Operations.

- **Management of Work:** Every organisation is set up to perform some work or goal, and the management aims at achieving these goals or tasks. The work of an organisation depends upon the nature of Business; **for example,** work to be fulfilled in a hospital is treating patients, in a university is educating students, etc.
- **Management of People:** People are the most essential assets of an organisation and refer to human resources. It is the duty of the management to get the work completed through human resources/people by making their strengths effective and weaknesses irrelevant. Managing people have two dimensions; viz., Taking care of a group of people and Taking care of employees' individual needs.
- **Management of Operations:** Operations are the activities of an organisation's production cycle, like purchasing inputs, converting them into semi-finished goods, and finished goods. Simply put, Management of operations consists of a mix of Management of Work and Management of People, and decides what work has to be done, how it has to be done, and who will do it.

5. Dynamic Function: There are different internal and external factors that affect the working of an organisation. An organisation has to change and adapt itself on the basis of changing environment to accomplish the organisational goals and objectives. Hence, management is a dynamic function.

6. Management is a Group Activity: Management involves a group of people performing managerial activities. The functions of management can be executed only when every individual performs his/her role their respective status and department. And as the result of management affects every individual and every department of an organisation, it always refers to a group effort.
7. Management is an Intangible Force: Management is a function that cannot be physically seen but its presence can be felt by watching the orderliness and coordination in work environment and happy faces of the employees when the task is completed.

Coordination is the essence of management. It helps in synchronizing the different activities of all departments and functions of management. The managers at each level of the organisation have to ensure proper coordination for better results and accomplishment of organisational goals.

Objectives of Management

1. Social Objectives: These refer to the objectives which are desired to be achieved for the benefit of society. Every organisation has a social responsibility to fulfill during its existence. Some of the social obligations of an organisation include implementing environment friendly practices in the production process, providing basic amenities to employees such as healthcare, education, etc., and providing the unprivileged sections of society with employment opportunities.
2. Organisational Objectives: With the help of management, every organisation sets and achieves organisational goals. The three major organisational objectives are survival, profit, and growth.

- **Survival:** One of the basic objectives of every organisation is survival. It does so by making positive decisions for the organisation with the help of the business management process.
- **Profit:** Survival is not enough for an organisation; it has to earn profits to grow and expand in the future. Hence, every organisation has to ensure its profit so that it can cover its costs and risks.
- **Growth:** Besides earning a profit, an organisation has to grow in order to remain in the industry. For this purpose, the management of an organisation has to exploit its resources effectively and efficiently.

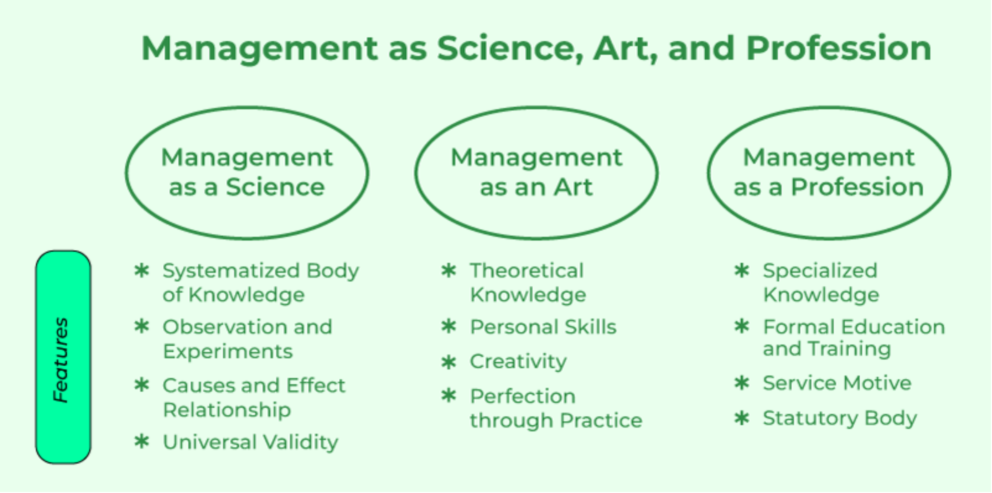
3. Personal or Individual Objectives: As discussed earlier, people are the main asset of an organisation having different goals, backgrounds and personalities. It is the duty of the managers to ensure that the personnel objectives are aligned with the organisational objectives. Individual or Personal Objectives of an organisation consist of satisfying needs like Social Needs, Financial Needs, Good and Healthy Working Conditions, and Higher Level Needs.

Importance of Management

1. Increases Efficiency: The management process of an organisation increases its efficiency by reducing cost and increasing productivity by utilisation of the available resources in the best possible and optimum way.
2. Helps in Achieving Group Goals: Effective management process creates teamwork and builds coordination among the members of an organisation. The managers provide a common path or direction to their employees for the accomplishment of the overall objectives of the organisation.
3. Creates a Dynamic Organisation: Every organisation works in a changing environment. The managers of an organisation have to help their members adapt to the changing environment, which ultimately helps them ensure the survival and growth of the organisation. Besides, the management convinces the employees that the changes brought in the organisation will benefit their future prospects.
4. Development of Society: Every organisation has various objectives toward different groups of society. Along with the development of the organisation, its management has to develop the society too. To do so, the management helps the organisation produce good quality products, adopt new technologies, and provide employment opportunities to the weaker sections of society.

5. Helps in Achieving Personal Objectives: Every individual or employee of an organisation has different objectives or goals they wish to accomplish while doing their jobs. Management helps these employees in fulfilling their personal objectives along with the organisational objectives.

Nature of Management as a Science, Art and Profession



Functions of Managers and Role of Management

Managers just don't go out and haphazardly perform their responsibilities. Good managers discover how to master five basic functions: planning, organizing, staffing, leading, and controlling.

- **Planning:** This step involves mapping out exactly how to achieve a particular goal. Say, for example, that the organization's goal is to improve company sales. The manager first needs to decide which steps are necessary to accomplish that goal. These steps may include increasing advertising, inventory, and sales staff. These necessary steps are developed into a plan. When the plan is in place, the manager can follow it to accomplish the goal of improving company sales.
- **Organizing:** After a plan is in place, a manager needs to organize her team and materials according to her plan. Assigning work and granting authority are two important elements of organizing.
- **Staffing:** After a manager discerns his area's needs, he may decide to beef up his staffing by recruiting, selecting, training, and developing employees. A manager in a large organization often works with the company's human resources department to accomplish this goal.
- **Leading:** A manager needs to do more than just plan, organize, and staff her team to achieve a goal. She must also lead. Leading involves motivating, communicating, guiding, and encouraging. It requires the manager to coach, assist, and problem solve with employees.
- **Controlling:** After the other elements are in place, a manager's job is not finished. He needs to continuously check results against goals and take any corrective actions necessary to make sure that his area's plans remain on track.

All managers at all levels of every organization perform these functions, but the amount of time a manager spends on each one depends on both the level of management and the specific organization.

Roles performed by managers

A manager wears many hats. Not only is a manager a team leader, but he or she is also a planner, organizer, cheerleader, coach, problem solver, and decision maker — all rolled into one. And these are just a few of a manager's roles.

In addition, managers' schedules are usually jam-packed. Whether they're busy with employee meetings, unexpected problems, or strategy sessions, managers often find little spare time on their calendars. (And that doesn't even include responding to e-mail!)

In his classic book, *The Nature of Managerial Work*, Henry Mintzberg describes a set of ten roles that a manager fills. These roles fall into three categories:

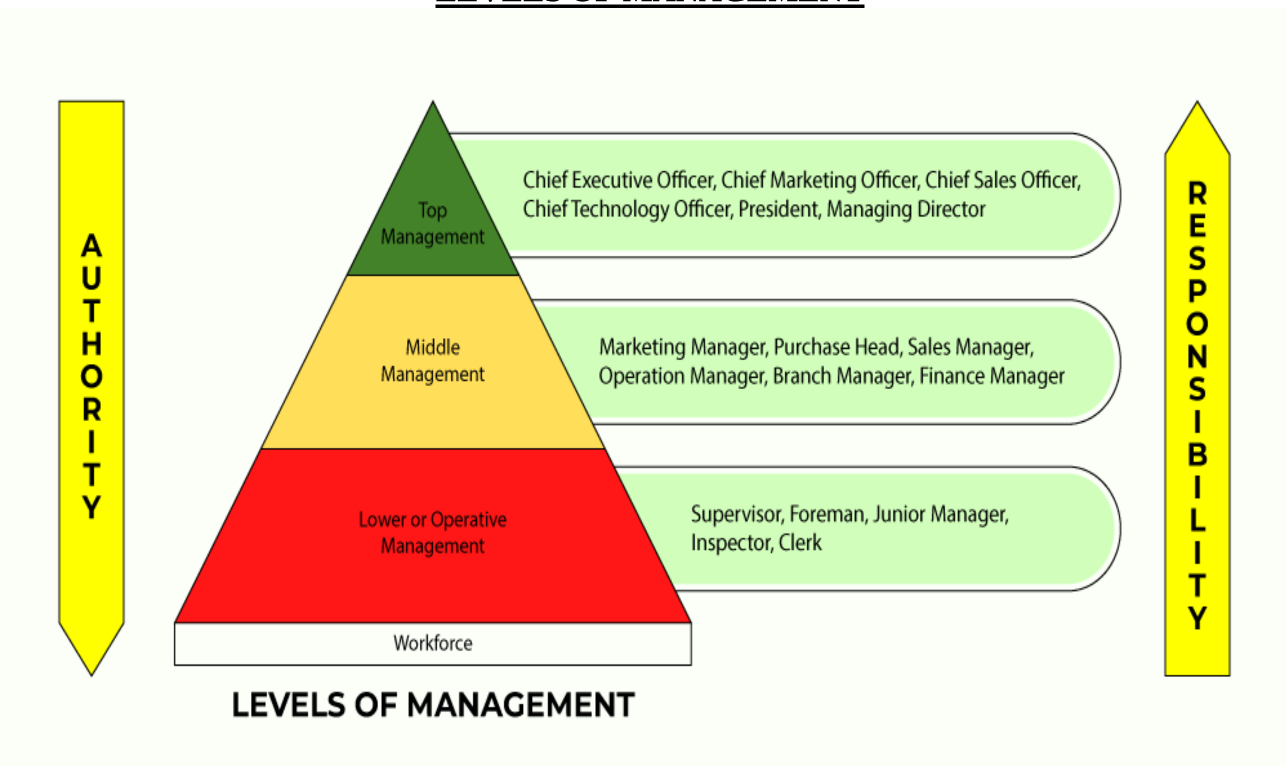
- **Interpersonal:** This role involves human interaction.
- **Informational:** This role involves the sharing and analyzing of information.
- **Decisional:** This role involves decision making.

Table 1 contains a more in-depth look at each category of roles that help managers carry out all five functions described in the preceding "Functions of Managers" section.

TABLE 1 Mintzberg's Set of Ten Roles

Category	Role	Activity
Informational	Monitor	Seek and receive information; scan periodicals and reports; maintain personal contact with stakeholders.
	Disseminator	Forward information to organization members via memos, reports, and phone calls.
	Spokesperson	Transmit information to outsiders via reports, memos, and speeches.
Interpersonal	Figurehead	Perform ceremonial and symbolic duties, such as greeting visitors and signing legal documents.
	Leader	Direct and motivate subordinates; counsel and communicate with subordinates.
	Liaison	Maintain information links both inside and outside organization via mail, phone calls, and meetings.
Decisional	Entrepreneur	Initiate improvement projects; identify new ideas and delegate idea responsibility to others.
	Disturbance handler	Take corrective action during disputes or crises; resolve conflicts among subordinates; adapt to environments.
	Resource allocator	Decide who gets resources; prepare budgets; set schedules and determine priorities.
	Negotiator	Represent department during negotiations of union contracts, sales, purchases, and budgets.

LEVELS OF MANAGEMENT



AUTHORITY

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RESPONSIBILITY

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AUTHORITY	RESPONSIBILITY
Authority is the legal right an official in a formal position has to give commands, instructions, or orders to subordinates in order to make them perform a particular task	Responsibility is the obligation of the subordinate regarding a specific duty or task assigned by the superior
Authority flows downwards from superiors towards subordinates	Responsibility is usually exacted upwards
Basically a legal right	A result of authority
The position of an employee in an organization is the deciding factor of his or her degree of authority	The superior-subordinate relationship determines the basis for responsibility
An employee with authority is expected to have the ability to command, order, and instruct subordinates	Employees who hold the responsibility to carry out an assigned task need to have the ability to follow orders and be obedient

Top Level of Management

It consists of board of directors, chief executive or managing director.The top management is the ultimate source of authority and it manages goals and policies for an enterprise. It devotes more time on planning and coordinating functions.

The role of the top management can be summarized as follows -

1. Top management lays down the objectives and broad policies of the enterprise.
2. It issues necessary instructions for preparation of department budgets, procedures, schedules etc.
3. It prepares strategic plans & policies for the enterprise.
4. It appoints the executive for middle level i.e. departmental managers.
5. It controls & coordinates the activities of all the departments.

6. It is also responsible for maintaining a contact with the outside world.
7. It provides guidance and direction.
8. The top management is also responsible towards the shareholders for the performance of the enterprise.

Middle Level of Management

The branch managers and departmental managers constitute middle level. They are responsible to the top management for the functioning of their department. They devote more time to organizational and directional functions.

In small organization, there is only one layer of middle level of management but in big enterprises, there may be senior and junior middle level management. Their role can be emphasized as -

1. They execute the plans of the organization in accordance with the policies and directives of the top management.
2. They make plans for the sub-units of the organization.
3. They participate in employment & training of lower level management.
4. They interpret and explain policies from top level management to lower level.
5. They are responsible for coordinating the activities within the division or department.
6. It also sends important reports and other important data to top level management.
7. They evaluate performance of junior managers.
8. They are also responsible for inspiring lower level managers towards better performance.

Lower Level of Management

Lower level is also known as supervisory/operative level of management. It consists of supervisors, foreman, section officers, superintendent etc.

According to *R.C. Davis*, “Supervisory management refers to those executives whose work has to be largely with personal oversight and direction of operative employees”.

In other words, they are concerned with direction and controlling function of management. Their activities include -

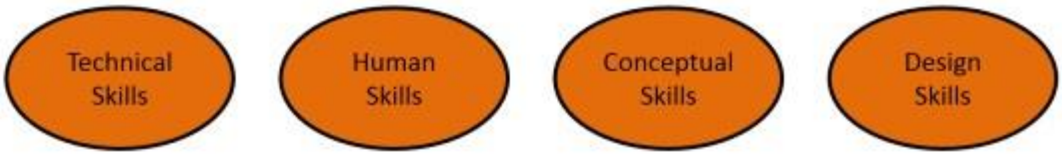
1. Assigning of jobs and tasks to various workers.
2. They guide and instruct workers for day to day activities.
3. They are responsible for the quality as well as quantity of production.
4. They are also entrusted with the responsibility of maintaining good relation in the organization.
5. They communicate workers problems, suggestions, and recommendatory appeals etc to the higher level and higher level goals and objectives to the workers.
6. They help to solve the grievances of the workers.
7. They supervise & guide the sub-ordinates.
8. They are responsible for providing training to the workers.
9. They arrange necessary materials, machines, tools etc for getting the things done.
10. They prepare periodical reports about the performance of the workers.
11. They ensure discipline in the enterprise.
12. They motivate workers.

MANAGEMENT SKILLS AND ORGANIZATION HIERARCHY

Understand different types of managerial skills:

- Technical skills
- Human skills
- Conceptual skills
- Design skills

A manager's job is varied and complex. Hence, managers need certain skills to perform the functions associated with their jobs. During the early 1970s, Robert K. Kalz identified three kinds of skills for administrators. These are technical, human and conceptual skills. A fourth skill – the ability to design solutions – was later added to the above mentioned skills.



Types of Managerial Skills

Technical Skills

Technical skills refer to the ability of a person to carry out a specific activity. In order to do so, you need to have knowledge of methods, processes and procedures. Engineers, computer specialists, accountants and employees in manufacturing departments all have the necessary technical skills for their specialized fields. Technical skills are essential for first-level managers. For example, employees at the operational level work with tools, and their supervisors must be able to teach them how to perform the tasks assigned to them using these tools. First-level managers spend much of their time in training subordinates and clarifying doubts in work-related problems.

Human Skills

Human skills or interpersonal skills refer to the ability of a person to work well with other people in a group. It is the ability to lead, motivate, and communicate with people to accomplish certain objectives; Human skills are of paramount importance in the creation of an environment, in which people feel comfortable and are free to voice their opinions. These skills aid employees during interaction with their supervisors, peers and people outside the work unit such as suppliers, customers and the general public. These skills are important for all levels in the organization.

Conceptual Skills

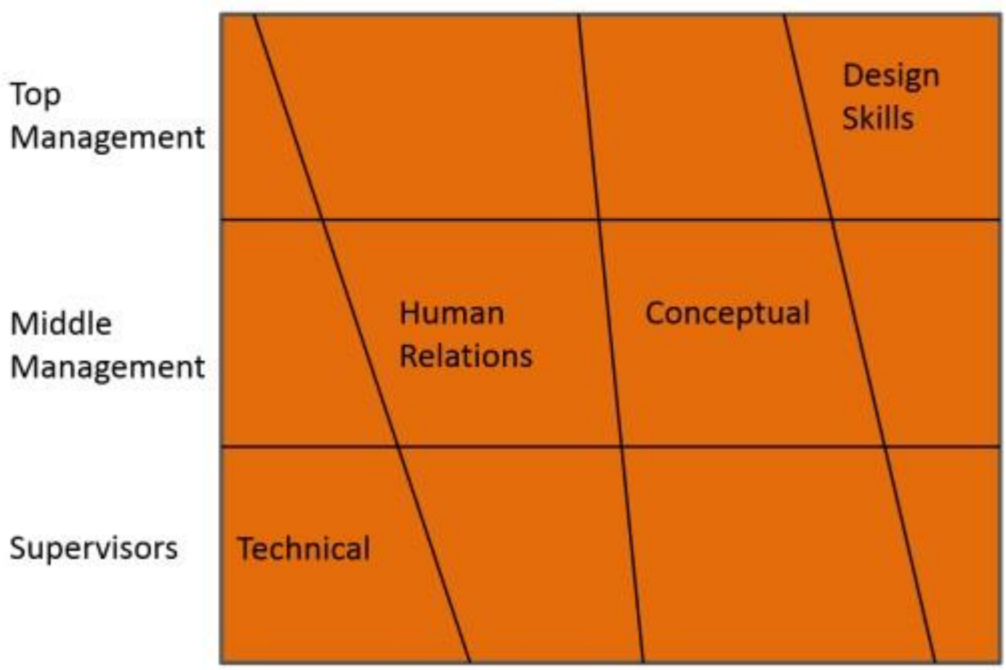
Conceptual skills refer to the ability of a person to think and conceptualize abstract situations. It is the ability where you understand and coordinate the full range of corporate objectives and activities. These skills are most important at the top management level, as top-level managers have the greatest need to see the "big picture," to understand how the various parts of the organization relate to one another and associate the organization with the external environment.

Design Skills

Design skills refer to the ability of a person to find solutions to problems in ways that would benefit the organization. As a top manager, you should not only recognize a problem but also suggest ways to overcome them. If you only see the problem, you would become mere “problem watcher,” and would prove ineffective. Managers at upper organizational levels should be able to design a rational and feasible solution to the problem by considering the various internal and external factors.

The relative significance of these skills varies at different levels in the organizational hierarchy as shown in the below figure. We can briefly summarize them as follows:

- As a first-level manager, you require more technical skills in order to supervise operational employees. You need to have good human skills as you need to interact with your subordinates on a regular basis. However, conceptual skills are usually not very essential for the managers at the supervisory level.
- The need for technical skills is lesser at the middle-management level. Here, human skills and conceptual skills are more significant.
- At the top-management level, conceptual, design and interpersonal skills are of greatest importance; there is little need for technical skills.



SOCIAL AND ETHICAL RESPONSIBILITIES OF MANAGEMENT

A sense of responsibility to society and everything that accompanies it is social responsibility. In other words, “social responsibility” means that management is responsible not only to its shareholders but to the entire community. In general, social responsibility is a decisive feature of capitalism. Individuals and customers trust that companies “do the right thing” and lead the world to a better place.

Social Responsibilities of Managers

Managers' social responsibility is their obligation and commitment to safeguard and improve society's welfare while also protecting their interests.

REASONS, MANAGERS HAVE SOCIAL RESPONSIBILITY:

- **Organizational Resources:** A company's resources include people, money, competencies, and functional expertise. When an organization possesses these resources, it can better work for societal objectives.
- **Precautionary step**: If a company waits too long to address social difficulties, it will end up putting out social fires, leaving no time to achieve its purpose of creating goods and services. It is more cost-effective to address social concerns before they evolve into disasters that consume a significant amount of management time.
- **Moral Obligation:** It has been determined that accepting managers' social duty is a morally appropriate viewpoint. It is the organization's moral responsibility to assist in resolving or eliminating societal problems.
- **Efficient and Effective Personnel:** Recruiting employees has become easier for socially responsible organizations. Employees are drawn to organizations that are more socially responsible. Tobacco companies, for example, may have a difficult time finding individuals with excellent skills and abilities.
- **Better Organizational Environment:** Organizations most sensitive to improving the quality of life of society will benefit from a better society for doing business. It makes it easier to hire employees and improves the quality of their employees. Employee volatility and absenteeism are minimized. As a result of all social changes, crime rates are lower, which means less money is spent on taxes and land safety. As a result, a better society will create a better world.

Types of social responsibility

As a manager, you can create a social responsibility management plan that includes a single focus or encompasses many responsibilities to the community. These are the different types of social responsibility:

Philanthropic

Philanthropic issues are those that affect different groups of people within society. This can include minorities and groups based on location and hardship. For example, a company may choose to implement social responsibility management methods focused on social issues by donating leftover food or clothing to the homeless.

An organization can also help support social issues by hosting people in the community and amplifying their voices. For example, a retail store may include a display for small creators of cultural clothing or products.

Environmental

Environmental responsibility management is the process of ensuring the organization does no harm to the environment with its processes, with the eventual goal of reversing damage and improving the ecosystem. This can include steps like using recycled materials during manufacturing, offsetting the carbon footprint of shipping or donating to organizations that support the environment.

For example, a clothing and accessories company may create its items from plastics a team pulls from the ocean to spread awareness of ocean pollution and take action in cleaning up the space.

Ethical

A company's ethical responsibility refers to its efforts that all team members and customers receive respect and fair treatment. This includes suppliers, investors and leadership personnel within the company as well.

This may include offering a wage to match inflation, providing adequate health care coverage, investing in mental health resources for team members and adhering to high standards for ingredients, materials and transparency.

For example, a chocolate manufacturing company may promise to pay employees a fair wage and to source its cocoa beans from areas where harvesters receive fair pay and humane treatment.

Economic

Financial or economic social responsibility is the organization's focus on using funds and resources in a way that positively impacts the community. This can include sourcing materials and ingredients from local vendors, rather than importing cheaper options.

Brands can also engage in economic social responsibility by promoting local businesses or giving back to the community. For example, a cafe may source its beans from a local roaster and advertise for the company, or an organization may offer college scholarships to local teens.

Social and Ethical Responsibilities of Management

Organizations need to be involved in the external environment to be truly productive. The general or macro-environment and the specific task environment are two types of external environments. Corporate efforts to improve society while enjoying profits are known as social responsibility. Shareholders, employees, customers, creditors, suppliers, society and government are the top six stakeholders for which a company is responsible. The ability of a company to implement and engage in policies that benefit both society and the company is known as the social response.

Contribution, quality of work, diversity policies, financing, direct business investment, volunteering, recycling, customer care and pollution control are all evaluated when measuring social response. Social audits were created in response to the need to monitor social reactions. There are two types of social audits: government-mandated and voluntary audits. Social audits are not required by law, but many companies include social information in their annual reports. This shows that prominent companies are becoming more and more concerned about their social responsibility. The code of ethics of the managers of an organization determines their ethical behaviour. In the long run, moral management is beneficial to the organization.

Importance of Social Responsibility of Management

- Employee morale can be improved by social responsibility programmes, which leads to increased productivity, which in turn affects the company's profitability.
- Businesses that embrace social responsibility activities can improve customer retention and loyalty.
- Employees with a sense of social responsibility can use the corporate resources at their disposal to do good.
- Being a socially responsible business can help to improve a company's image and brand.
- Employee morale can be improved by social responsibility programmes, which leads to increased productivity, which affects the company's profitability.
- Companies that employ social responsibility activities can improve customer retention and loyalty.
- Socially responsible companies have the opportunity to differentiate themselves from their competitors as they build profitable brand awareness.

ARGUMENTS FOR AND AGAINST SOCIAL RESPONSIBILITIES OF BUSINESS

Arguments Supporting Social Responsibility:

- **The justification for existence and growth:** The primary goal of business is to make profits as only profits can help the business sustain and expand. Profits should only be made as a return of service to the society by producing goods and services.
- **The long-term-term interest in the firm:** A firm is to gain maximum profits in the long run if it has it's the highest goal as service to society. As humans are social beings, when they notice that a particular corporation is not serving its the best interest socially, they do not support the organization further.
- **Avoidance of government regulations:** Government is the highest authority in the nation. When a government feels that the business is not socially responsible or is creating problems like pollution, the government limits its freedom.
- **Maintenance of Society:** Business is one of the important pillars on which society survives. It is the responsibility of business to take care of society's needs. Law alone cant help people with the issues they face. Therefore businesses contribute to the well being, peace and harmony of society.
- **Availability of resources with Business:** Business enterprises have huge financial resources, very efficient managers & contacts and thereby they can ensure that a social problem can be solved easily.
- **Converting problems into opportunities:** Business means risk. And turning risky situations into profits can also be related to solving social problems.
- **Holding Business responsible for Social problems:** Business enterprises are responsible for many problems such as pollution, discriminated employment, corruption, etc. It is the duty of the business to solve the problems created by them.

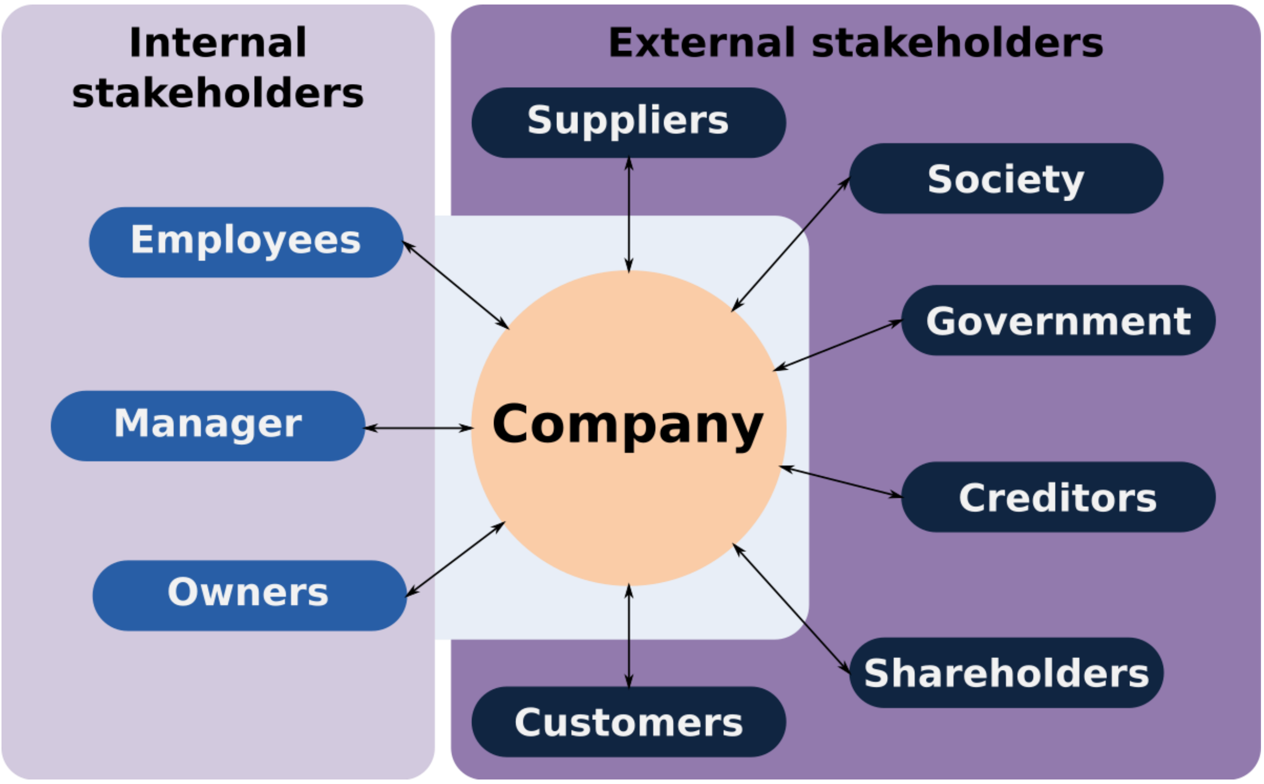
Arguments Against Social Responsibility:

- **Violation of maximization of the profit motive:** This statement argues that business exists only for maximizing profits and businesses fulfil their social responsibility best by maximizing profits by increasing efficiency and reducing costs. They need not take up any additional obligations.
- **Side effects on Consumers:** Customers suffer because of the solving social problems and taking social care require huge financial investment. As the money within the business is used in social help, the business increase the cost of their products and services.
- **Lack of Social skills:** It is often stated that businessmen don't fully under the social problems and thus can't solve them efficiently.
- **Personal resistance:** People tend to dislike interference from businesses in their problems.

The Reality of Social Responsibility:

- **The threat of Public Regulation:** Government agencies keep watchful eye on all the business operations. So to avoid government action, business should behave in a responsible manner.
- **The pressure of Labour movement:** Labour play an important role not only in production but also in the managerial factors of the organization. Labour nowadays are more educated and their movements are more powerful. 'Hire and fire' policy no longer work. Managers now have to be more responsible while dealing with labors.
- **Impact of Consumer Consciousness:** In this era, consumers are well aware of the quality and price of the product. Consumers are understanding their rights over the product and even in small issues, they file a suit in consumer court.
- **Development of a Social standard for Business:** New social standards consider business enterprises as legitimate but with a condition, they must also serve social needs.
- **Development of Business Education:** Business education has created an awareness among investors, consumers, employees, etc and the world is more sensitive towards social issues.
- **The relationship between Social interest and Business Interest:** People know that social interest and business interest are complementary. This means long-term benefits of the business.
- **Development of Professional and Managerial Class:** Earlier business houses only aimed at profit maximization but now professional management and educational institution have made a new kind of managers that give similar importance to social responsibility.

SOCIAL STAKEHOLDERS



A stakeholder is a person, group or organization with a vested interest, or stake, in the decision-making and activities of a business, organization or project. Stakeholders can come from a variety of connections to the organization or project. The most common types of stakeholders include the following:

- **Customers** usually expect organizations to deliver products of value.
- **Employees** are often project stakeholders, who want to contribute to a project that is related to their job.
- **Owners** supply an organization's equity and capital and are responsible for organizational goals.
- **Investors** are shareholders, who invest in organizations in exchange for financial returns and often receive regular financial reporting on the companies they invest in as well as voting power in major decisions.
- **Creditors**, such as banks and bondholders, lend money to an organization to be paid back with interest.
- **Suppliers** are vendors that supply materials and products to organizations and have an interest in their business and the projects they pursue.

- **Communities** have an interest in businesses being healthy, safe and beneficial to local economies. Businesses create jobs and business for local communities. Environment, sustainability and governance (ESG) are increasingly important values for consumers and investors.
- **Governments** collect taxes from companies and their employees.Transparency and engagement with stakeholders are some of the most important principles for corporate governance.

Internal vs. external stakeholders

Stakeholders are often categorized into the two main groups of internal stakeholders and external stakeholders.

Internal stakeholders

Internal stakeholders are those within a company whose interest stems from direct employment, ownership or investment. Internal stakeholders of a company or project can include employees, project managers, boards of directors, donors and investors. These individuals are often referred to as primary stakeholders, or key stakeholders, because they have a direct stake and important role in the company's or project's success.

External stakeholders

External stakeholders are those outside of a company who are indirectly affected by its decisions and outcomes. External stakeholders include customers, suppliers, government agencies, creditors, labor unions and community groups. These entities are also referred to as secondary stakeholders because their stake in the company or project is often more representational than direct.

MEASURING SOCIAL RESPONSIVENESS AND MANGERIAL ETHICS

MANGERIAL ETHICS : Managerial ethics are moral principles employees in a leadership position follow to guide their actions and behaviours. These ethics may be personal or related to the company's beliefs and values. They help managers decide what's wrong and right in the workplace so they can create a welcoming, inclusive environment.

managerial ethics importance:

Creates a positive work environment : One benefit of being an ethical leader is that you can create a positive work environment. This helps people from any background feel safe, allowing them to focus on their work. When employees are happy in their work environment, they may also feel more innovative or motivated to reach their goals.

Helps managers maintain strong professional relationships : Employees may have more respect for managers with strong ethics, helping them form professional relationships. CEOs and other stakeholders may also appreciate ethical managers more, helping them form strong relationships as well. This helps managers act as a liaison between the two parties more effectively. It also helps them lead their team more efficiently as employees may be more willing to listen to a manager they respect.

Improve collaboration among teams : When managers are clear about their ethics and encourage their teams to adopt similar values, it can improve collaboration. Team members may work together more effectively, helping them reach their goals. Improved collaboration can also increase efficiency, allowing teams to complete their tasks faster without sacrificing the quality of their work.

MEASURING MANAGERIAL ETHICS

Measuring managerial ethics in an organization involves assessing the ethical behavior, decision-making processes, and leadership practices of managers within the company. Ethical management is crucial for fostering a positive organizational culture, maintaining stakeholder trust, and ensuring long-term sustainability. Here are some methods and indicators to measure managerial ethics in an organization:

- **Ethical Leadership Surveys:**

Conduct surveys or assessments to gather feedback from employees about their perceptions of managerial ethics. Include questions about the transparency, fairness, and integrity of managerial decision-making.

- **Code of Ethics Compliance (obey of ethics):**

Evaluate the extent to which managers adhere to the organization's code of ethics. Assess the implementation and enforcement of ethical guidelines within the organization.

- **Ethical Decision-Making Scenarios:**

Present managers with ethical dilemmas or scenarios to evaluate their decision-making processes. Assess the alignment of decisions with ethical principles and the ability to navigate complex ethical situations.

- **Whistle blowing Mechanisms:**

Evaluate the effectiveness and utilization of whistle blowing mechanisms within the organization. Measure the number and nature of reported ethical concerns and the subsequent actions taken.

- **Training and Development Programs:**

Assess the availability and effectiveness of training programs related to ethics and leadership. Evaluate whether managers receive training on ethical decision-making and staying compliant with relevant regulations.

- **Performance Appraisal Criteria:**

Include ethical considerations in the performance appraisal process for managers. Assess whether ethical behavior and leadership are considered in performance evaluations.

- **Customer and Stakeholder Feedback:**

Assess the perceptions of customers, suppliers, and other stakeholders regarding the ethical behavior of the organization's managers. Utilize feedback mechanisms to gauge stakeholder trust and confidence.

- **Board Oversight and Governance:**

Evaluate the effectiveness of the board of directors in overseeing ethical practices. Assess the presence of ethical considerations in governance policies and guidelines.

OMNIPOTENT AND SYMBOLIC VIEW OF MANAGEMENT

Omnipotent view:

The traditional view of managers is that they have virtually unlimited control over the organization and its purpose, functions and operations and therefore they alone are responsible for all its success and failures. This view is called omnipotent view of management.

Symbolic view:

Symbolic view is the view that managers have only a limited effect on substantive organizational outcomes because of large number of factors outside their control.

Prefer Omnipotent View Over Symbolic View Because

In Omnipotent view

- Managers are directly responsible for an organization’s success or failure.
- The quality of the organization is determined by the quality of its managers.
- The performance of managers influences the organization goals.
- The ability of managers is to gain success and failure by their good or bad performance.
- Example: Coaches, Faculties, Group leaders, supervisors etc.

But in Symbolic view

- Managers are not directly responsible for an organization’s success or failure.
- The whole control is not on managers, so the quality of the organization is not determined by the quality of its managers.
- The performance of managers is not influences the organization goals.
- The ability of managers to affect outcomes is influenced and limited by externalfactors.

◆ Example: The economy, customers, governmental policies, competitors, industry conditions, technology etc

Omnipotent view	Symbolic view
1. Managers are directly responsible for an organization's success or failure.	1. Managers are not directly responsible for an organization's success or failure.
2. The quality of the organization is determined by the quality of its managers.	2. The whole control is not on managers, so the quality of the organization is not determined by the quality of its managers.
3. The performance of managers influences the organization goals.	3. The performance of managers is not influences the organization goals.
4. The ability of managers is to gain success and failure by their good or bad performance.	4. The ability of managers to affect outcomes is influenced and limited by external factors.
5. Example: Coaches, Faculties, Group leaders, supervisors etc.	5. Example: The economy, customers, governmental policies, competitors, industry conditions, technology etc.

Organizational Culture

Organizational culture is a set of values, beliefs, behaviors, customs and attitudes that govern how people behave within organizations. The culture of an organization provides boundaries and guidelines that help the employees of the organization to know the correct way of performing their jobs.

The culture of an organization is ingrained in the behavior of the employees within an organization and in a way it shows the 'personality' of the organization. The unique culture of an organization creates a distinct atmosphere that is felt by the people who are a part of the group, and this atmosphere is known as the climate of an organization.

Characteristics of Organisational Culture:

1. Innovation

Companies that value innovation will encourage their people to be brave and take risks. This will empower people and inspire them to think creatively. Companies that do not value innovation will have set guidelines and practices that must be adhered to. This links closely to the neuroscience theme of Clarity, and in particular ideas of requirements.

2. Attention to Detail

This dictates the level to which employees are expected to be accurate in their work. For some organisations, attention to detail is key to success. Financial organisations and law firms are prime examples of this. A culture that places a high value on this will expect its employees to undertake their duties with precision. A culture that places a low value on this will adopt a “fail fast” mentality - which places emphasis on trying new approaches. This often links with Personal Growth and how people prefer to be challenged within the workplace.

3. Outcome (Results)

Companies that value outcomes will focus on results above all else. They will strive for results by any means necessary. In contrast, other organisations will consider the wider impact of their work and strive to ding things in 'the right way'. Here we will see that some people will be more instinctive while others will be more reflective. The instinctive-leaning may prefer an organisational culture that prioritises results. The reflective-leaning will prioritise values.

4. Relationships

Organisations that value relationships will be focused on building a culture where people work collaboratively and feel supported by their managers and leadership teams. Conversely, others may have a competitive mindset and have a more hierarchical structure that prioritises more formal or financial motivations. Relationships feed directly into the emotional brain style and how important this is to a team will depend on their predominant brain type.

5. Values

Values are something every organisation will have… however - for some organisations values such as fairness, doing the right thing, and supporting environmental or sustainable societal actions will be more important. For others, this will be less of a priority and - instead - they will focus more on other organisational culture characteristics. Organisations that place more emphasis on values may have more reflective people within their teams.

6. Freedom

This characteristic looks at whether organisations give their employees the freedom and autonomy to work when, where and how they like! Organisations that don’t prioritise freedom may have more rigid processes and structures. Freedom is linked to the instinctive brain system.

7. Stability

A company that encourages stability will be administrative and rule-orientated. It will focus more on outputs and processes than growth. Companies that do not value stability will regularly adapt their processes and practices. The former may have more people with a predisposition to reflective brain types, while the latter may have more instinctive individuals.

Importance of Organisational Culture

1. Increased employee engagement

A work environment that possesses organizational culture is driven by purpose and clear expectations. This motivates and inspires employees to be more engaged in their work duties and interactions with others. It also leads to high levels of workforce engagement, which drives productivity. Having a strong connection to an organization and its people creates an atmosphere of positivity that is hard to ignore.

2. Decreased turnover

People who feel valued and respected at a company are less likely to leave it. That's why it's essential for brands to foster a winning organizational culture that supports their core values and mission statement. Happy employees mean less turnover, which saves companies time and money in the hiring process. Companies that achieve a strong culture must take steps to maintain and improve it.

3. Elevated productivity

When employees have the resources and tools they need to succeed, it helps increase productivity and performance levels overall. Organizational culture impacts the structure of a workplace in ways that bring people of the same skill set together. Those who share similar backgrounds and skills may work more quickly together when tackling company projects.

4. Strong brand identity

A company's organizational culture represents its public image and reputation. People make assumptions about businesses based on their interactions within and outside of the company. If it lacks organizational culture or has a weak image, customers may hesitate to do business with anyone who is associated with the brand. Businesses with a strong brand identity tend to attract more business and job candidates with similar values who support their mission.

5. Transformational power

Not all businesses have the power to transform ordinary employees into total brand advocates, but those with a strong organizational culture do. Companies that recognize their employees' efforts and celebrate team successes are more likely to notice a change in employees as they experience a sense of accomplishment.

6. Top performers

Companies that promote community in the workplace are more likely to retain their best employees. People who are great at their jobs and know the value of their skills commonly leave negative work environments where they feel undermined and unappreciated. Organizational culture builds a high-performance culture that strengthens the work of people within the company, resulting in a positive employee experience overall.

7**. Effective on-boarding**

More and more, businesses with an organizational culture are relying on effective on-boarding practices to train new hires. On-boarding practices that include orientation, training and performance management programs help new employees access the right resources and better transition into their roles. This promotes employee longevity and loyalty and reduces the amount of frustration some employees experience when they don't have the information needed to do their job well. On-boarding is a great way for companies to ensure new hires understand the core values of their business.

THE RELEVANCE OF THE POLITICAL, LEGAL, ECONOMIC AND CULTURAL ENVIRONMENTS TO GLOBAL BUSINESS

Organizational culture helps improve workflows and guides the decision-making process. It also helps teams overcome barriers of ambiguity. Team members who are informed and knowledgeable about certain processes are often more motivated to finish projects. Having a clear culture that unifies employees and promotes organized work structures helps people work together with purpose.

The political, legal, economic, and cultural environments play a crucial role in shaping the landscape for global business operations. Understanding and navigating these environments are essential for organizations seeking success in the international marketplace. Here's an overview of the relevance of each of these factors.

- **Political Environment:**

Stability and Instability: Political stability in a country is crucial for business operations. Stable political environments reduce the risk of disruptions and ensure a more predictable business climate.

Government Policies and Regulations: Governments enact policies and regulations that directly impact businesses. These can include trade policies, taxation, environmental regulations, and labor laws.

Political Risk: Political instability, changes in government, and geopolitical tensions can pose risks to global businesses. Understanding and managing these risks are essential for international success.

- **Legal Environment:**

Legal Systems and Rule of Law: Different countries have varying legal systems and levels of adherence to the rule of law. Understanding and complying with local legal frameworks is essential for avoiding legal issues.

Contracts and Intellectual Property: Legal environments influence the protection of contracts and intellectual property rights. Businesses need to ensure that their rights are safeguarded and enforceable in foreign jurisdictions.

Compliance and Corporate Governance: International businesses must adhere to diverse regulatory environments and corporate governance standards. Legal compliance is critical to maintaining a positive reputation and avoiding legal consequences.

- **Economic Environment:**

Market Size and Growth: Economic conditions, including the size and growth of markets, influence business opportunities. Companies often expand into countries with growing economies and increasing consumer demand.

Currency Exchange Rates: Fluctuations in currency exchange rates can impact the cost of doing business and affect profit margins. Global businesses must manage currency risks and adapt to changing economic conditions.

Infrastructure and Technology: Economic development levels affect the quality of infrastructure and technology in a country. Businesses need to assess these factors to ensure efficient operations and connectivity.

- **Cultural Environment:**

Cultural Sensitivity: Cultural differences influence consumer behaviors, preferences, and business practices. Companies need to be culturally sensitive to effectively market products, manage employees, and interact with local stakeholders.

Communication and Negotiation Styles: Different cultures have distinct communication and negotiation styles. Understanding and adapting to these styles are crucial for building successful relationships in the global business arena.

Ethical Considerations: Cultural norms and values impact ethical considerations. Businesses need to align their practices with local ethical standards and social expectations.

STRUCTURES ORGANIZATIONS USE AS THEY GO INTERNATIONAL

(These notes available in the book pdf)

TECHNIQUES USED BY ORGANIZATIONS AS THEY GO INTERNATIONAL:

1. Exporting

Exporting involves marketing the products you produce in the countries in which you intend to sell them. Some companies use direct exporting, in which they sell the product they manufacture in international markets without third-party involvement. Companies that sell luxury products or have sold their goods in global markets in the past often choose this method.

2. Countertrade

Countertrade is a common form of indirect international marketing. Countertrading functions as a barter system in which companies trade each other's goods instead of offering their products for purchase. While legal, the system does not have specific legal regulations like other forms of market entry do. This means companies may solve problems like ensuring other companies understand the value of their products and attempting to acquire goods at a similar level of quality. Countertrading is a cost-effective choice for many businesses because the practice may exempt them from import quotas.

Example of counter Trade (India and Iraq: Oil-for-Food): In 2000, India and Iraq agreed on an “oil for wheat and rice” barter deal to facilitate daily delivery of 300,000 barrels of oil to India at a price of US$ 6.85 a barrel.

3. Licensing

Licensing occurs when one company transfers the right to use or sell a product to another company. A company may choose this method if it has a product that's in demand and the company to which it plans to license the product has a large market.

For example, a movie production company may sell a school supply company the right to use images of movie characters on backpacks, lunchboxes and notebooks.

4. Joint ventures

Some companies attempt to minimize the risk of entering an international market by creating joint ventures with other companies that plan to sell in the global marketplace. Since joint ventures often function like large, independent companies rather than a combination of two smaller companies, they have the potential to earn more revenue than individual companies. This market entry strategy carries the risk of an imbalance in company involvement, but both parties can work together to establish fair processes and help prevent this issue.

Examples

1. Molson Coors and SABMiller

2. BMW and Brilliance Auto Group

3. Microsoft and General Electric

5. Company ownership

If your company plans to sell a product internationally without managing the shipment and distribution of the goods you produce, you might consider purchasing an existing company in the country in which you want to do business. Owning a company established in your international market gives your organization credibility as a local business, which can help boost sales. Company ownership costs more than most market entry strategies, but it has the potential to lead to a high ROI.

6. Franchising

A franchise is a chain retail company in which an individual or group buyer pays for the right to manage company branches on the company's behalf. Franchises occur most commonly in North America, but they exist globally and offer businesses the opportunity to expand overseas. Franchising typically requires strong brand recognition, as consumers in your target market should know what you offer and have a desire to purchase it. For well-known brands, franchising offers companies a way to earn a profit while taking an indirect management approach.

Examples : several fast food chains like Dominos and McDonalds operate in India through franchising.

7. Turnkey projects

Turnkey projects apply specifically to companies that plan, develop and construct new buildings for their clients. The term "turnkey" refers to the idea that the client can simply turn a key in a lock and enter a fully operational facility. You might consider this market entry strategy if your clients comprise foreign government agencies. International financial agencies usually manage arrangements between companies and their overseas clients to ensure the companies provide high-quality service and the client pays the full amount due.

Turnkey projects example : Many Airports (Jewar Airport), Bridges, shopping malls, and offices are constructed by turnkey. A turnkey project is not only on a large scale, but it is also applicable on the small scale. If the owner has a low budget and needs better technique, then this is the best for him.